

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 21-05

MCS INDUSTRIES, INC. v. MSC MEDITERRANEAN SHIPPING COMPANY SA

**COMPLAINANT MCS INDUSTRIES, INC.'S RESPONSE RE
THE PRESIDING OFFICER'S ORDER TO SHOW CAUSE
WHY A DEFAULT DECISION SHOULD NOT BE ENTERED
AGAINST RESPONDENT MSC MEDITERRANEAN SHIPPING COMPANY SA**

TABLE OF CONTENTS

PRELIMINARY STATEMENT	1
LEGAL STANDARD.....	2
ARGUMENT	3
A. Mediterranean Has Violated Multiple Discovery Orders, Including in Its Response to the Order To Show Cause.	3
B. Mediterranean’s Conduct Triggers All Three of the <i>Webb</i> Conditions, Any One of Which Is Sufficient to Support a Sanction of Default Judgment.	7
1. Default Is Justified Because, as the Presiding Officer Has Already Ruled, It Would Be Unfair to Force Complainant to Present Its Case Without the Ordered Discovery.	8
2. Default Is Justified Because of the Delay and Burden Created by Mediterranean’s Contumacious Disregard for Its Discovery Obligations and the Presiding Officer’s Discovery Orders.	10
3. Default Is Justified Because Mediterranean’s Disregard for the Jurisdiction of the FMC, the Presiding Officer’s Orders, and the FMC’s Rules May Recur in Future Cases Unless Deterred Now.....	12
C. Default Is the Most Appropriate Sanction Because of the Severity of Mediterranean’s Misconduct and Because a Lesser Sanction Would Ultimately Reach the Same Result.	14
D. Complainant’s Reparations	18
CONCLUSION.....	19

TABLE OF AUTHORITIES

Cases

<i>Aliki Foods, LLC v. Otter Valley Foods, Inc.</i> , 726 F. Supp. 2d 159 (D. Conn. 2010).....	18
<i>Am. Cash Card Corp. v. AT & T Corp.</i> , 184 F.R.D. 521 (S.D.N.Y. 1999), <i>aff'd</i> , 210 F.3d 354 (2d Cir. 2000)	4, 5, 9
<i>Baba v. Japan Travel Bureau Int’l</i> , 111 F.3d 2 (2d Cir. 1997)	14
<i>Cine Forty–Second St. Theatre Corp. v. Allied Artists Pictures Corp.</i> , 602 F.2d 1062 (2d Cir. 1979)	13
<i>Communispond, Inc. v. Kelley</i> , No. 96 CIV. 1487 (DC), 1998 WL 473951 (S.D.N.Y. Aug. 11, 1998).....	4
<i>Guarantee Co. of N. Am. USA v. Lakota Contracting Inc.</i> , No. CV 19-1601 (TJK), 2021 WL 2036666 (D.D.C. May 21, 2021)	12, 14
<i>Intermodal Motor Carriers Conference, American Trucking Associations, Inc. v. Ocean Carrier Equipment Management Association Inc., Mediterranean Shipping Company, et al.</i> , FMC Docket No. 20-14	15, 16
<i>Kawasaki Kisen Kaisha, Ltd. Complainant, v. the Port Authority of New York and New Jersey Respondent</i> , FMC Docket No. 11-12, 2014 WL 7328475 (FMC November 20, 2014).....	3
<i>Lopez v. J & K Floral USA, Inc.</i> , 307 F. Supp. 3d 257 (S.D.N.Y. 2018).....	5, 14
<i>Medina v. Gonzalez</i> , No. 08 CIV 01520 BSJ KNF, 2010 WL 3744344 (S.D.N.Y. Sept. 23, 2010)	3, 14
<i>Muhammad Rana, Complainant, v. Michelle Franklin, D.b.a. “the Right Move,” Inc., Respondents</i> , FMC Docket No. 19-03, 2022 WL 1744905 (FMC May 25, 2022).....	2, 4
<i>Peart v. City of New York</i> , 992 F.2d 458 (2d Cir. 1993)	9
<i>Perez v. Berhanu</i> , 583 F. Supp. 2d 87 (D.D.C. 2008)	8, 12, 13
<i>S. New England Tel. Co. v. Glob. NAPs, Inc.</i> , 251 F.R.D. 82 (D. Conn. 2008), <i>aff'd</i> , 624 F.3d 123 (2d Cir. 2010)	18
<i>Schindler Elevator Corp. v. Otis Elevator Co.</i> , No. 09–cv–0560 (DMC), 2011 WL 4594225 (D.N.J. March 24, 2011), <i>report and recommendation adopted</i> , 2011 WL 4594958 (D.N.J. Sept. 30, 2011).....	15, 16
<i>SEC v. China Infrastructure Inv. Corp.</i> , 189 F. Supp. 3d 118 (D.D.C. 2016)	3, 4, 7, 12

<i>SEC v. Euro Sec. Fund</i> , No. 98 CIV 7347 DLC, 1999 WL 182598 (S.D.N.Y. April 2, 1999)....	15
<i>Sieck v. Russo</i> , 869 F.2d 131 (2d Cir. 1989).....	4
<i>Stirrat v. Ace Audio/Visual, Inc.</i> , No. 02 CV 2842(SJ), 2004 WL 2212096 (E.D.N.Y. Sept. 24, 2004).....	4
<i>U.S. Bank Nat’l Ass’n v. Poblete</i> , No. CV 15-312 (BAH), 2017 WL 598471 (D.D.C. Feb. 14, 2017)	8, 10
<i>Webb v. D.C.</i> , 146 F.3d 964 (D.C. Cir. 1998).....	3, 7, 8, 12

Statutes

46 U.S.C. Section 41305(a)	19, 20
46 U.S.C. Section 41305(e)	19, 20

Regulations

46 C.F.R. § 502.150(d)	6, 9, 16
46 C.F.R. § 502.221	9

Complainant MCS Industries, Inc. (“Complainant”), by and through its undersigned attorneys, files this response to MSC Mediterranean Shipping Company SA’s (“Mediterranean”) September 22, 2022 Response (the “Response”) to the Presiding Officer’s September 8, 2022 Order Denying Respondent’s Motion for an Extension of Time and Order to Show Cause (the “Order to Show Cause”).

PRELIMINARY STATEMENT

Mediterranean has flaunted its disregard for the jurisdiction of the Federal Maritime Commission (the “Commission”) and the Presiding Officer throughout this proceeding. Its latest Response, however, takes that disregard to a new level. The Presiding Officer’s Order to Show Cause came after nearly a year of delay and needless motion practice occasioned by Mediterranean’s steadfast refusal to comply with the FMC’s Rules of Practice and Procedure (the “Rules”) and the Presiding Officer’s orders. The Order to Show Cause explicitly (and correctly) instructed that, at this point, “the question is *only* whether a default decision or other procedural consequence is appropriate for MSC Mediterranean Shipping’s failure to produce discovery.” (Dkt. No. 54) (emphasis added). Utterly disregarding the narrow scope of the Order to Show Cause, Mediterranean instead filed a lengthy Response that seemingly rehashes every failed argument it has advanced in this action, including its mantra that the “Commission lacks jurisdiction over this proceeding” and its assertion that the Presiding Officer’s December 8, 2021 Order Granting Motion to Compel (the “Order Granting Motion to Compel”)—decided over nine months ago and never appealed—was mistaken in finding the discovery at issue to be relevant and discoverable by Complainant.

Mediterranean’s refusal to comply now extends not just to one, but to three separate orders of the Presiding Officer in this action: (1) the Order Granting Motion to Compel, (2) the July 29,

2022 Order Requiring Production of Discovery (the “Order Requiring Production”)¹, and (3) the September 8, 2022 Order to Show Cause (collectively, the “Orders”). As the Presiding Officer already ruled in each of the Orders, Complainant is entitled to the discovery at issue and will be unfairly hampered without access to it. All three orders explicitly warned Mediterranean that a default decision was a possible consequence of non-compliance. (*See* Dkt. No. 27 at 13; Ord. Req. Prod. at 4; Dkt. No. 54 at 2.) Nonetheless, Mediterranean has failed to comply with the Orders. Mediterranean can no longer be permitted to ignore the Presiding Officer’s orders; accordingly, no lesser sanction than a default judgment in Complainant’s favor is appropriate here.

LEGAL STANDARD

The Presiding Officer has correctly noted that:

As [Mediterranean] was advised previously, pursuant to Commission Rule 150(b), if a party “fails or refuses to obey an order requiring it to make disclosures or to respond to discovery requests, the presiding officer upon his or her own initiative or upon motion of a party may make such orders in regard to the failure or refusal as are just,” including “rendering a decision by default against the disobedient party.” 46 C.F.R. 502.150(b).

(Dkt. No. 54 at 2.)

“Federal Rule of Civil Procedure 37(b) is the corollary to the Commission’s rule on discovery sanctions (46 C.F.R. § 502.150) for violating an order directing discovery responses.” *Muhammad Rana, Complainant, v. Michelle Franklin, D.b.a. “the Right Move,” Inc., Respondents*, FMC Docket No. 19-03, 2022 WL 1744905, at *4 (FMC May 25, 2022) (relying on federal court decisions to find sanctions appropriate in a case before the FMC); *Kawasaki Kisen*

¹ Complainant notes that the Order Requiring Production has not yet been posted to the docket of this action maintained in the Reading Room on the FMC’s website. *See* <https://www2.fmc.gov/readingroom/proceeding/21-05/>. Thus, citations to that Order, a copy of which is attached here as Exhibit 1, are to “Ord. Req. Prod.” Complainant also notes that the docket entry for the parties’ August 15, 2022 Joint Status Report does not link to that status report, but instead to the parties’ June 3, 2022 Joint Status Report. A copy of the August 15, 2022 Joint Status Report is attached here as Exhibit 2.

Kaisha, Ltd. Complainant, v. the Port Authority of New York and New Jersey Respondent, FMC Docket No. 11-12, 2014 WL 7328475, at *13–14 (FMC November 20, 2014) (awarding sanctions for discovery failures and finding that Commission Rule 150(b), then codified as Commission Rule 210(b), “was established to incorporate certain provisions in Fed. R. Civ. P. 37 related to sanctions for failure to comply with discovery-related orders”).

Default judgment is appropriate “pursuant to Federal Rule of Civil Procedure 37(b)(2) when: (1) a party has failed to obey an order to provide or permit discovery; (2) one of the three *Webb* justifications for use of default judgment as a sanction has been met”—*i.e.*, where the failure (i) unfairly hampered the other party, (ii) burdened the tribunal through delay, or (iii) disrespected the tribunal and is the type of conduct that should be deterred in the future²—“and (3) lesser sanctions will not adequately deter and punish the misconduct.” *SEC v. China Infrastructure Inv. Corp.*, 189 F. Supp. 3d 118, 129–32 (D.D.C. 2016) (awarding default judgment based on “the defendants’ violation of the last three Court Orders, the most recent of which expressly compelled the defendants to respond to the[ir opponents’] interrogatories and requests for production of documents”).

ARGUMENT

A. Mediterranean Has Violated Multiple Discovery Orders, Including in Its Response to the Order To Show Cause.

A party who flouts discovery obligations “does so at his peril.” *Medina v. Gonzalez*, No. 08 CIV 01520 BSJ KNF, 2010 WL 3744344, at *15–16 (S.D.N.Y. Sept. 23, 2010) (quoting *Sieck*

² See *Webb v. D.C.*, 146 F.3d 964, 971 (D.C. Cir. 1998) (“First, the court may decide that the errant party’s behavior has severely hampered the other party’s ability to present his case—in other words, that the other party has been so prejudiced by the misconduct that it would be unfair to require him to proceed further in the case. Second, the court may take account of the prejudice caused to the judicial system when the party’s misconduct has put an intolerable burden on a district court by requiring the court to modify its own docket and operations in order to accommodate the delay. And finally, the court may consider the need to sanction conduct that is disrespectful to the court and to deter similar misconduct in the future.”) (internal citations and quotation marks omitted).

v. Russo, 869 F.2d 131, 133 (2d Cir. 1989)). Ignoring multiple discovery orders is the classic hallmark of conduct meriting a default judgment based on discovery failures. *See Am. Cash Card Corp. v. AT & T Corp.*, 184 F.R.D. 521, 524–25 (S.D.N.Y. 1999), *aff'd*, 210 F.3d 354 (2d Cir. 2000) (finding “the extreme measure of a default judgment is required [because] Amcash has failed to obey not one but *five* orders”) (emphasis in original); *Stirrat v. Ace Audio/Visual, Inc.*, No. 02 CV 2842(SJ), 2004 WL 2212096, at *2–3 (E.D.N.Y. Sept. 24, 2004) (awarding default where “despite court orders, Defendant failed to produce witnesses for depositions and failed to respond to court-ordered discovery [because] Defendant’s disobedience appears to be willful, or at the very least grossly negligent”); *Communispond, Inc. v. Kelley*, No. 96 CIV. 1487 (DC), 1998 WL 473951, at *5 (S.D.N.Y. Aug. 11, 1998) (finding “that the entry of a default judgment against [defendants] is warranted . . . [where] defendants have wilfully disobeyed several of my oral discovery orders”).

Mediterranean cannot dispute that it has “failed to obey an order to provide or permit discovery”, satisfying the first element of the standard for entering a sanction of default. *China Infrastructure Inv. Corp.*, 189 F. Supp. 3d at 129–32. In fact, Mediterranean has disobeyed **three** of the Presiding Officer’s Orders in less than a year, a sufficient record to warrant a default judgment under federal standards. *See id.* at 129 (entering default judgment sanction where defendants violated three court orders over eight-month period). Crucially, each Order came with a warning of the potential for sanction, including the possibility of a default decision. *Rana*, 2022 WL 1744905, at *6–7 (finding sanctions appropriate in an FMC case for a party acting *pro se* because “[t]he ALJ’s recurring admonitions clearly put Respondent on notice that her continuing failure to cooperate could lead to sanctions and possibly a default judgment”); *Stirrat*, 2004 WL 2212096, at *2–3 (finding default judgment appropriate where “Defendant was given ample and

adequate notice of the consequences of noncompliance”); *Lopez v. J & K Floral USA, Inc.*, 307 F. Supp. 3d 257, 259–60 (S.D.N.Y. 2018) (awarding sanctions because “if a court does not eventually follow through on its warnings, it risks undermining its ability to control current and future would-be wayward litigants”); *Am. Cash Card*, 184 F.R.D. at 524–25 (“I warned Amcash four times that I would impose sanctions, including a default judgment, if it did not comply. Those warnings went unheeded”).

First, the Presiding Officer’s Order Granting Motion to Compel required Mediterranean to produce documents and answer interrogatories concerning a number of issues that go to the heart of the causes of action this case. (Dkt. No. 27.) At that time, over nine months ago, the Presiding Officer admonished Mediterranean that “failure to produce discovery may result in sanctions, including an adverse determination.” (*Id.* at 13.) To date, Mediterranean has not produced any documents or answered any interrogatories in response to the Order Granting Motion to Compel.

Second, in the Order Requiring Production, the Presiding Officer stated once again that Mediterranean was “ORDERED to provide any outstanding discovery by August 29, 2022, including the discovery ordered to be produced in the Order Granting Motion to Compel.” (Ord. Req. Prod. at 4.) The Presiding Officer again chastised Mediterranean that “parties appearing before the Commission are entitled to relevant evidence needed to adjudicate the proceeding [and that f]ailure to provide discovery may result in procedural sanctions, from an inference that the discovery would have been adverse to Respondent’s interests to a decision on default.” (*Id.*) Mediterranean has produced no documents and answered no interrogatories in response to the Order Requiring Production.

Third, and most recently, the Order to Show Cause required Mediterranean “to show cause why a default decision should not be issued against it” (Dkt. No. 54 at 2.)—a requirement that

Mediterranean’s Response utterly fails to fulfill. The Presiding Officer clearly instructed that “[t]he merits of the proceeding and remedy are not at issue and *should not be addressed in these filings*—the question is *only* whether a default decision or other procedural consequence is appropriate for MSC Mediterranean Shipping’s failure to produce discovery.” (Dkt. No. 54 at pg. 2 (emphasis added).) In contempt of the Presiding Officer’s explicit instructions, Mediterranean’s Response strays far beyond the bounds of the Order to Show Cause, devoting fully half its considerable length to arguing that the Commission “lacks jurisdiction over this proceeding to begin with” and that there is no prejudice to Complainant from not receiving the discovery at issue despite the Presiding Officer’s clear findings to the contrary over nine months ago in the Order Granting Motion to Compel. (Response at 13-24 & 26-30.)

Mediterranean admits in its Response that it has not produced documents to comply with the Orders, ostensibly based on its strenuous objections to the Orders, which by now are exhaustively documented. Curiously, however, despite its protestations, Mediterranean has repeatedly failed to take the simple step of *appealing* any of those Orders. The FMC’s Rules specifically address this situation of “[p]ersons and documents located in a foreign country”:

Orders of the presiding officer directed to persons or documents located in a foreign country *must become final orders of the Commission unless an appeal to the Commission is filed within 10 days after date of issuance of such orders* or unless the Commission on its own motion reverses, modifies, or stays such rulings within 20 days of their issuance. Replies to appeals may be filed within 10 days. No motion for leave to appeal is necessary in such instances and no orders of the presiding officer must be effective until 20 days from date of issuance unless the Commission otherwise directs.

46 C.F.R. § 502.150(d) (emphasis added). The Order Granting Motion to Compel was issued on December 8, 2021 and the Order Requiring Production of Discovery was issued on July 29, 2022. Both Orders were clearly “directed to persons or documents located in a foreign country” and far more than ten days has passed since each Order without Mediterranean filing any appeal. Thus,

each of those Orders has become a final order of the Commission, which Mediterranean has already violated.

Mediterranean’s refusal to comply with three of the Presiding Officer’s Orders—each of which came with a warning about the risk of a sanction or default—clearly satisfies the first element for a default judgment. *See China Infrastructure Inv. Corp.*, 189 F. Supp. 3d at 129–32.

B. Mediterranean’s Conduct Triggers All Three of the *Webb* Conditions, Any One of Which Is Sufficient to Support a Sanction of Default Judgment.

The second element for a default judgment is satisfied where a party’s conduct satisfies any “one of the three *Webb* justifications for use of default judgment as a sanction”. *China Infrastructure Inv. Corp.*, 189 F. Supp. 3d at 129.

In *Webb*, the U.S. Circuit Court for the District of Columbia identified three situations in which a sanction of default judgment may be appropriate. *Webb*, 146 F.3d at 971. *First*, “the court may decide that the errant party’s behavior has severely hampered the other party’s ability to present his case—in other words, that the other party has been so prejudiced by the misconduct that it would be unfair to require him to proceed further in the case.” *Id.* *Second*, “the court may take account of the prejudice caused to the judicial system when the party’s misconduct has put an intolerable burden on a district court by requiring the court to modify its own docket and operations in order to accommodate the delay.” *Id.* *Third*, “the court may consider the need to sanction conduct that is disrespectful to the court and to deter similar misconduct in the future.” *Id.*

Meeting any one of the three *Webb* justifications is by itself sufficient to satisfy the second element of a default judgment. Mediterranean’s conduct here, however, meets all three of the *Webb* justifications. *First*, as the Presiding Officer found in the Order Granting Motion To Compel, the discovery at issue is relevant and appropriately tailored to Complainant’s case, and accordingly there will be “unfairness to [Complainant] if it is required to proceed with the case” without the

discovery at issue. *U.S. Bank Nat’l Ass’n v. Poblete*, No. CV 15-312 (BAH), 2017 WL 598471, at *6 (D.D.C. Feb. 14, 2017). *Second*, Mediterranean’s discovery gamesmanship and contempt of the Presiding Officer’s orders has already necessitated multiple delays and rounds of motion practice, placing a significant burden on the Presiding Officer’s docket. *Third*, there is a “need to deter future similar misconduct and its concomitant disrespect for the judicial system.” *Poblete*, 2017 WL 598471 at *6.

1. Default Is Justified Because, as the Presiding Officer Has Already Ruled, It Would Be Unfair to Force Complainant to Present Its Case Without the Ordered Discovery.

Under the first prong of *Webb*, default is appropriate where “the errant party’s behavior has severely hampered the other party’s ability to present his case—in other words, that the other party has been so prejudiced by the misconduct that it would be unfair to require him to proceed further in the case.” *Webb*, 146 F.3d 964 at 971. Unfairness to a party is inherent where the party will be hampered in proving its case without the discovery that the defaulting party refuses to provide. *Poblete*, 2017 WL 598471 at *6 (granting default because it was unfair to plaintiff to have to proceed without “the information sought from [defendant which] is necessary to proceeding with [the] lawsuit”); *Perez v. Berhanu*, 583 F. Supp. 2d 87, 91 (D.D.C. 2008) (granting default after finding unfairness to “Plaintiffs [because they] are unable to present their case for a merits resolution without any discovery from defendants”).

The Order Granting Motion to Compel contained over a dozen individual orders requiring Mediterranean to respond to *well over* a dozen discovery requests. Each of those orders came with a finding that Complainant was entitled to the requested discovery because it was relevant to Complainant’s well-pled claims. (Dkt. No. 27 at ¶¶ III(A)-(N).) Approximately eight months later, the Order Requiring Production found again that Mediterranean was refusing to “provid[e] relevant discovery which it was ordered to produce in the order granting motion to compel” and

further noted that the evidence at issue is “relevant” and “needed to adjudicate the proceeding.” (Ord. Req. Prod. at 4.)

Because the Presiding Officer has already found on multiple occasions that Complainant’s case will be hampered without the discovery at issue, the only question is whether Mediterranean has produced the required discovery. Mediterranean has not. Since the Order Granting Motion to Compel, Mediterranean has not answered any of Complainant’s first set of interrogatories or produced any additional documents in response to that Order, leaving both that Order and the more recent Order Requiring Production *entirely* unfulfilled. A ruling that Complainant is not hampered by Mediterranean’s conduct could not be reconciled with the well-reasoned Order Granting Motion to Compel and Order Requiring Production.

Moreover, the fact that it has now been nearly a year since the Presiding Officer first issued the Order Granting Motion to Compel itself demonstrates unfair prejudice to Complainant. *See Peart v. City of New York*, 992 F.2d 458, 462 (2d Cir. 1993) (“prejudice resulting from unreasonable delay may be presumed as a matter of law”); *Am. Cash Card*, 184 F.R.D. at 524–25 (“AT&T has been prejudiced[, i]t has had to devote extensive time and resources to trying to obtain the most basic discovery and the case has been delayed”). Even if Mediterranean believed the Orders were wrongly decided and the discovery at issue was unnecessary, it has repeatedly failed to avail itself of the proper mechanism under the Rules for challenging the Orders; *i.e.*, appealing them. As detailed above, since the Orders were discovery-related and “directed to persons or documents located in a foreign country”, Mediterranean arguably would not even have needed to move for leave to appeal under 46 C.F.R. § 502.221, but instead could have appealed directly pursuant to 46 C.F.R. § 502.150(d). Yet Mediterranean chose not to do so, and the Orders all have already become final orders of the Commission. *See* 46 C.F.R. § 502.150(d). Mediterranean’s

arguments that Complainant will not be prejudiced by the lack of discovery are thus both too little and too late.

Because the Presiding Officer has already long since ruled that Complainant is entitled to the discovery at issue—a ruling that is no longer subject to appeal—and because Mediterranean has not produced any of that discovery, Complainant will be unfairly hampered in this action by Mediterranean’s conduct, fulfilling the first *Webb* justification.

2. Default Is Justified Because of the Delay and Burden Created by Mediterranean’s Contumacious Disregard for Its Discovery Obligations and the Presiding Officer’s Discovery Orders.

Under the second prong of *Webb*, default judgment is appropriate where the party’s misconduct has created “prejudice to the judicial system caused by accommodating the delay due to a party’s misconduct.” *Poblete*, 2017 WL 598471 at *6. Mediterranean’s discovery misconduct has dominated this case, occasioning multiple delays and rounds of unnecessary filings—all of which have imposed burdens both on Complainant, a much smaller entity than Mediterranean, and on the Presiding Officer’s own docket.

The initial scheduling order required document production to be substantially complete by November 5, 2021. (Dkt. 15.) During the initial phase of discovery, Complainant’s counsel asked Mediterranean’s counsel directly whether it would take the position that Swiss law would interfere with discovery, and Respondent told Complainant it was “not aware of any issues with Swiss discovery rules”. (Dkt. No. 52; quoting Dkt. 41.) Since late November 2021, though, with the exception of filings relating to Mediterranean’s belated (and unsuccessful) motion to dismiss and Complainant’s amended complaint (Dkt. 29-34, 36-39), *every* filing in this action has been a direct result of Mediterranean’s failure to comply with its discovery obligations, including:

- Complainant’s Motion to Compel, Mediterranean’s Response, and the Court’s Order Granting Motion To Compel (Dkt. 21-27).

- Documents relating to Swiss legal and discovery processes and the Presiding Officer's unsuccessful letter of request pursuant to the Convention of 18 March 1970 on the Taking of Evidence Abroad in Civil or Commercial Matters (the "Hague Evidence Convention") (Dkt. 44, 47, 53).
- Joint Status Reports addressing Mediterranean's failure to produce discovery, Swiss law issues, and the Hague Evidence Convention process (Dkt. 28, 35, 41, 43, 45, 48, 50).
- A revised scheduling order (Dkt. 42), an Order Requiring Joint Status Report suspending the case schedule (Dkt. 46), and a Notice of Extension of Time (Dkt. 49), all reflecting delays occasioned by Mediterranean's discovery delays.
- Mediterranean's Motion for an Extension of Time (Dkt. 51, 52, 54).
- Filings relating to the instant Order To Show Cause (Dkt. 54, 55).

Mediterranean was well aware of the delays occasioned by its conduct, and of the burden such delays imposed on the Presiding Officer and on Complainant. Indeed, Complainant repeatedly requested that sanctions be imposed in light of the delay and burden imposed by Mediterranean's discovery misconduct. For example, in the February 28, 2022 Joint Status Report, Complainant noted:

[B]ecause the delay in obtaining Swiss legal clearance was entirely due to Respondent, which chose to wait over four months after Complainant raised the issue before filing its Memo, and because Respondent could have voluntarily answered Complainant's interrogatories and produced all relevant documents, communications, and information without forcing Complainant to file, and win, a motion to compel, Complainant respectfully suggests that ***if Respondent continues in its noncompliance with the Presiding Officer's Order past any new deadline set by the Presiding Officer, then additional sanctions, including without limitation an adverse inference and entry of judgment, may become appropriate.***

(Dkt. 41 at 8 (emphasis added).)

In the April 4, 2022 Joint Status Report, Complainant again raised the issue of Mediterranean's discovery delays, noting that the "now months-long delay in obtaining Swiss legal clearance was entirely due to Respondent, which chose to wait over four months after Complainant raised the issue before filing its memo on the claimed Swiss legal issue", and that "Respondent

could instead have answered Complainant's interrogatories and produced all relevant documents, communications, and information on a voluntary basis, avoiding the need to pursue any of these options." (Dkt. 43.) In its September 2, 2022 opposition to Mediterranean's motion for a further extension of time, Complainant again argued that sanctions, including default judgment, were an appropriate remedy for Mediterranean's pattern of delay and noncompliance. (Dkt. 52.)

In the very first scheduling order in this action, the Presiding Officer expressly reminded the parties that "a scheduling order is not a frivolous piece of paper, idly entered, which can be cavalierly disregarded by counsel without peril". (Dkt. 15 (citation omitted).) Throughout this action, Mediterranean has flouted the Presiding Officer's instructions, refused to comply with discovery orders, denied the FMC's jurisdiction, and "cavalierly disregarded" every attempt by Complainant and the Presiding Officer to move this case along. Enough is enough.

3. Default Is Justified Because Mediterranean's Disregard for the Jurisdiction of the FMC, the Presiding Officer's Orders, and the FMC's Rules May Recur in Future Cases Unless Deterred Now.

Mediterranean's disregard for the jurisdiction of the FMC, the Presiding Officer's Orders, and the requirements of the FMC's Rules fulfills the third *Webb* justification, regarding the need to deter conduct disrespecting the tribunal. *Webb*, 146 F.3d at 971.

It is well settled that failure to comply with court orders and missing discovery deadlines constitute sanctionable disrespect for the tribunal. *See China Infrastructure Inv. Corp.*, 189 F. Supp. 3d at 131 ("the defendants' behavior has demonstrated a disrespect for the Court and a need to deter future misconduct[including, among other things, t]he complete refusal to respond to this Court's last three Orders"); *Guarantee Co. of N. Am. USA v. Lakota Contracting Inc.*, No. CV 19-1601 (TJK), 2021 WL 2036666, at *4 (D.D.C. May 21, 2021) (finding disrespect element met when, *inter alia*, defendants failed to respond to discovery requests and missed court-ordered deadlines); *Perez*, 583 F. Supp. 2d at 91 (D.D.C. 2008) ("Defendants' disrespect for the Court is

demonstrated not only by their failure to respond to plaintiffs' discovery requests, but also by their disregard of the [] discovery deadline”).

Mediterranean is widely reported to be the largest container shipping line in the world, and is a repeat player before the FMC in both its regulatory and adjudicatory functions. Without the severe sanction of a default decision in this case, Mediterranean may continue to act in future cases as it has in this action; *i.e.*, as though it has authority to define unilaterally for itself the scope and nature of claims that may be brought against it and to decide, also unilaterally for itself, what its discovery obligations are under the FMC’s Rules, without regard to the Orders of the Presiding Officer or the FMC. In so doing, Mediterranean would be permitted (even incentivized) to hamper other future complainants as it has Complainant here, hiding behind its own preferred interpretations of Swiss law—interpretations rejected by U.S. federal courts and the Presiding Officer in this action alike—while continuing to access and profit from its business at U.S. ports.

Beyond deterring Mediterranean from repeating its misconduct in other cases, a sanction of default is appropriate because such a sanction would deter similar misconduct by other litigants before the FMC. If this case were to establish a precedent that Mediterranean may flout FMC rules, deny the FMC’s jurisdiction despite litigating (and losing) the issue without appeal, and disregard the Presiding Officer’s discovery orders at will, then Mediterranean and other non-U.S. ocean common carriers, which collectively dominate the market for global transoceanic shipping, could employ the same tactics to thwart discovery that Mediterranean has employed in this case. *See Perez*, 583 F. Supp. 2d at 91 (“[a] lesser sanction may also yield similar misconduct by other litigants by indicating that flagrant violations will yield only minor sanctions”); *Cine Forty–Second St. Theatre Corp. v. Allied Artists Pictures Corp.*, 602 F.2d 1062, 1064 (2d Cir. 1979) (“[U]nless Rule 37 [sanctions are] perceived as a credible deterrent rather than a paper tiger, the

pretrial quagmire threatens to engulf the entire litigative process.”) (internal quotation marks and citations omitted); *Lopez*, 307 F. Supp. 3d at 259–60 (“if a court does not eventually follow through on its warnings, it risks undermining its ability to control current and future would-be wayward litigants”).

Because Mediterranean has refused to comply with multiple Orders of the Presiding Officer and missed deadlines set by such Orders, and because Mediterranean (and other litigants) would be incentivized to pursue this same course of misconduct unless adequately deterred, this *Webb* justification has also been satisfied. Satisfaction of all three *Webb* justifications is more than sufficient to satisfy the second element for a default judgment.

C. Default Is the Most Appropriate Sanction Because of the Severity of Mediterranean’s Misconduct and Because a Lesser Sanction Would Ultimately Reach the Same Result.

The third element for a default judgment is whether a lesser sanction would be appropriate. “A Court entering default judgment as a sanction under Rule 37 need not exhaust lesser sanctions before entering default judgment, but it must explain why a lesser sanction is inadequate.” *Guarantee Co.*, 2021 WL 2036666 at *5. Because a default judgment is the most extreme sanction, it is more appropriate than a less extreme sanction where the discovery failures were willful or in bad faith. “The Second Circuit Court of Appeals has recognized that, in determining whether *litigation-ending* sanctions are appropriate, wilfulness and/or bad faith may be exhibited by repeated defiance of the district court’s orders, and sustained and willful intransigence in the face of repeated and explicit warnings from the court.” *Medina*, 2010 WL 3744344 at *15–16 (emphasis added) (quoting *Baba v. Japan Travel Bureau Int’l*, 111 F.3d 2, 5 (2d Cir. 1997)).

Mediterranean’s willfulness and bad faith in this action are palpable. Mediterranean argues that its conduct was not in bad faith because it was simply trying to comply with Swiss law, but this precise argument has been rejected as a defense to default judgment before. *See Schindler*

Elevator Corp. v. Otis Elevator Co., No. 09–cv–0560 (DMC), 2011 WL 4594225, at *1-2 (D.N.J. March 24, 2011), *report and recommendation adopted*, 2011 WL 4594958, at *1 (D.N.J. Sept. 30, 2011) (upholding default against party who argued “that it could not produce the discovery because Swiss law would not permit it to do so [where] that excuse had been rejected three previous times, once in a published Opinion in th[e same] matter”); *SEC v. Euro Sec. Fund*, No. 98 CIV 7347 DLC, 1999 WL 182598, at *3-4 (S.D.N.Y. April 2, 1999) (“the Court believes it would be possible to enter a default judgment against” Defendant who “assert[ed] that providing the discovery sought could violate Swiss law, and that whether it is proper to make this revelation should in the first instance be decided by Swiss authorities”).

Mediterranean’s actions make clear that its Swiss law arguments were made for purposes of discovery gamesmanship, not in good faith. *First*:

[A]t the outset of discovery in this action, Respondent told Complainant that it was not aware of any issues with Swiss discovery rules. As reflected in the February 28, 2022 Joint Status Report: “Complainant’s counsel raised with Respondent’s counsel the issue of Swiss law, and whether it could interfere with discovery in this case, during conferences in September and October 2021. It was not until December 16, 2021, however—after Complainant had filed and prevailed on its motion to compel—that Respondent raised the issues of Swiss law” that Respondent now contends preclude it from complying with the First Order Compelling Production.

(Dkt. No. 52; quoting Dkt. No. 41.)

Second, Mediterranean’s discovery conduct in other matters demonstrates that its refusal to produce discovery in this case is not based on a sincere fear of Swiss legal restrictions on discovery. Mediterranean is also a respondent in the pending FMC case *Intermodal Motor Carriers Conference, American Trucking Associations, Inc. v. Ocean Carrier Equipment Management Association Inc., Mediterranean Shipping Company, et al.*, FMC Docket No. 20-14. Last year, at the very same time as it was fighting tooth and nail against complying with its discovery obligations in this case, Mediterranean produced discovery located in Switzerland ***both before and***

after a motion to compel with respect to discovery in the *Intermodal* action. Mediterranean gave the following update in a joint status report in that action:

MSC's data is maintained in servers located in Switzerland and transmittal was delayed due to compliance issues under Swiss privacy laws. The requests were first evaluated by MSC's headquarters in Geneva to determine the legality of compliance under Swiss law, a process which took a considerable period of time. There were also IT issues, because the data was maintained in Geneva and it took time to provide access for the conduct of initial searches from the U.S. and collect the data.

(*Intermodal Motor Carriers Conference*, FMC Docket No. 20-14, Dkt. No 69 at 8.) Nonetheless, despite asserting (contrary to the ruling of the Swiss court and the Presiding Officer's Orders) that Mediterranean fears criminal liability if it produces Swiss custodial data in this action, Mediterranean produced such data in the *Intermodal* action.

Finally, the bad faith of Mediterranean's conduct, and in particular its endless rehashing of already-rejected jurisdictional and Swiss law arguments, is apparent from the fact that it chose not to appeal any of the Orders with which it now claims it cannot comply. *See Schindler Elevator*, 2011 WL 4594225 at *1-2 (awarding default where the party "chose to willfully disobey the Court's Order compelling its production of discovery[because i]t did not choose to appeal"). As discussed above, the Orders were "directed to persons or documents located in a foreign country" and thus long ago became final orders of the FMC. 46 C.F.R. § 502.150(d). If Mediterranean truly believed that it was unable to comply due to Swiss law, it could and should have appealed the Orders. That it chose not to do so speaks volumes about the merit—or lack thereof—of its Swiss law arguments.

Mediterranean's Response to the Order to Show Cause is its latest willfully contumacious act against the Presiding Officer and the FMC. The Order to Show Cause not only laid out what should be included in the Response, it went a step further by explicitly prohibiting Mediterranean from addressing "[t]he merits of the proceeding." (Dkt. No. 54 at 2.) The Presiding Officer's

instructions went unheeded by Mediterranean, which devoted half of its Response to arguments that are either outside the bounds of the Order or explicitly prohibited by the Order. At the outset of its Response, Mediterranean spends a dozen pages relitigating the Order Granting Motion to Compel by arguing that Complainant does not need and is not entitled to any of the discovery at issue. (*See* Response at 11-24.) Next, despite the Presiding Officer’s ruling that “[t]he question of whether Swiss assistance with discovery is required has been answered” (Dkt. No. 54 at pg. 2), Mediterranean argues again that the parties should re-submit a request to Swiss authorities, attaching 25 pages of Swiss legal opinions that were neither sought nor permitted by the Order to Show Cause. (*See* Response at 24-26 & Exhs. 1–2.) Last, and perhaps most defiantly, Mediterranean chose to directly contravene the Presiding Officer’s order not to address the merits of this proceeding by asserting that “this Commission does not properly have jurisdiction over this matter” (Response at 4, 26-30), an argument that was soundly rejected by the Presiding Officer’s February 4, 2022 Order on Motion to Amend Complaint and Motion to Dismiss (Dkt. No. 37)—which Mediterranean notably also failed to seek leave to appeal.³

In this case, a default is especially appropriate because the lesser sanction of adverse inferences on issues implicated by Mediterranean’s discovery misconduct would lead to the same result. As discussed above (and noted in the Presiding Officer’s original Order Granting Motion to Compel), the discovery at issue cuts to the heart of the issues in this proceeding. Indeed, the discovery Mediterranean is required to produce by the Order Granting Motion to Compel covers

³ Mediterranean’s discussion in its Response of an ongoing Society of Maritime Arbitrators arbitration between the parties, which Mediterranean initiated earlier this year after losing on the motion to compel and its motion to dismiss in this action, is clearly outside the scope of the Presiding Officer’s Order to Show Cause, since it has no relevance to whether or not a default judgment is appropriate in *this* action. Accordingly, Complainant will not respond to that discussion substantively, except to note that Mediterranean’s argument that its commencement of that arbitration could somehow deprive the FMC of jurisdiction over this action is nothing more than an attempt to relitigate its failed motion to dismiss.

so many critical issues that the Order made over a dozen independent findings of relevance. (See Dkt. No. 27 ¶¶ III(A)-(N).) The adverse inferences arising from those unfulfilled discovery requests, which were tailored to the essential elements of Complainant's causes of action under the Shipping Act, would fulfill those essential elements, rendering those causes of action subject to summary decision in Complainant's favor. *See S. New England Tel. Co. v. Glob. NAPs, Inc.*, 251 F.R.D. 82, 95 (D. Conn. 2008), *aff'd*, 624 F.3d 123 (2d Cir. 2010) ("the extent of defendants' noncompliance and either wilful withholding or destruction is so extensive that any adverse inference sufficient to sanction defendants and address the harm to SNET would effectively amount to a directed verdict or the equivalent of a default judgment"); *Aliki Foods, LLC v. Otter Valley Foods, Inc.*, 726 F. Supp. 2d 159, 181 (D. Conn. 2010) (adverse inferences on the discovery that was unproduced "would, in effect, be the same as dismissing the case (or nearly so), although the parties would have to expend further resources on a trial that would be unlikely to change the outcome"). After spending nearly a year incurring substantial fees and costs in connection with needless motion practice and fruitless foreign judicial assistance requests, Complainant should not now be required to incur additional fees to reach the same result that would be achieved by a default.

Mediterranean has repeatedly chosen to disregard the FMC's jurisdiction over it and the Presiding Officer's authority in this action. Respectfully, no sanction less than a default will adequately address the willfulness and bad faith that Mediterranean has exhibited in its defiance of the Orders and in its Response. The final element for a default judgment is satisfied.

D. Complainant's Reparations

The Presiding Officer's Order to Show Cause instructed Complainant to provide in this response the amount of reparations that Complainant is seeking in this action. As detailed in its Amended Complaint, Complainant seeks reparations for actual damages that it incurred in

connection with the period May 2020 through July 2021, which encompasses the 2020-2021 “shipping year” and the first three months of the 2021-2022 “shipping year”. Complainant is seeking reparations equaling amounts in excess of its service contract rates with Mediterranean that Complainant had to spend on “spot market” purchases of ocean carriage in order to ship cargo between port pairs covered by its service contracts with Mediterranean that should have been carried by Mediterranean at service contract rates. For the 2020-2021 shipping year, Complainant has calculated such reparations for Mediterranean’s shortfall to total \$480,719. For the first three months of the 2021-2022 shipping year, Complainant has calculated such reparations for Mediterranean’s shortfall to total \$463,936, for a grand total of \$944,655 in reparations sought, plus interest pursuant to 46 U.S.C. Section 41305(a).

In light of the availability of an award of reasonable attorney fees to the prevailing party pursuant to 46 U.S.C. Section 41305(e), Complainant also notes here that it has incurred a total of \$651,304.73 in attorney fees, costs, and expenses in connection with this action through September 30, 2022. The burden of attorney fees on Complainant has been exacerbated by Mediterranean’s discovery misconduct.⁴ Accordingly, Complainant respectfully requests an award in the full amount of its attorney fees and expenses.

CONCLUSION

For the reasons stated above, Complainant respectfully requests that the Presiding Officer render a default decision against Mediterranean on all claims in Complainant’s Amended Complaint and award reparations to Complainant in the amount of \$944,655, with interest pursuant

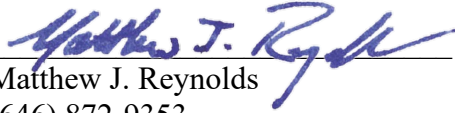
⁴ Notably, in the April 4, 2022 Joint Status Report, Complainant specifically requested that Mediterranean be ordered to bear any costs occasioned by Mediterranean’s belated invocation of Swiss law to avoid discovery, and the resulting delay. (Dkt. 43 at 11.)

to 46 U.S.C. Section 41305(a), and reasonable attorney fees, costs, and expenses in the amount of \$651,304.73 pursuant to 46 U.S.C. Section 41305(e).

Dated: October 6, 2022

Respectfully submitted,

HUTH REYNOLDS LLP



Matthew J. Reynolds

(646) 872-9353

reynolds@huthreynolds.com

Karl C. Huth

(212) 731-9333

huth@huthreynolds.com

Sara G. Wilcox

(415) 676-1773

swilcox@huthreynolds.com

41 Cannon Court

Huntington, NY 11743

Counsel for Complainant MCS Industries, Inc.

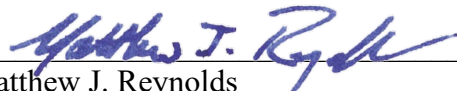
Certificate of Service

I hereby certify that I have this day served the foregoing document and its exhibits upon Respondent MSC Mediterranean Shipping Company SA by emailing copies of those documents to its counsel of record listed below:

Michael F. Scanlon
John Longstreth
Ifigeneia Xanthopoulou
K&L GATES LLP
1601 K Street, N.W.
Washington, DC 20006
(202) 778-9000
(202) 778-9100 (fax)
michael.scanlon@klgates.com
john.longstreth@klgates.com
ifigeneia.xanthopoulou@klgates.com

Counsel for Respondent MSC Mediterranean Shipping Company SA

Dated: October 6, 2022



Matthew J. Reynolds
For Complainant MCS Industries, Inc.

EXHIBIT 1

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

MCS INDUSTRIES, INC., *Complainant*

v.

COSCO SHIPPING LINES CO., LTD. AND MSC
MEDITERRANEAN SHIPPING COMPANY SA, *Respondents*.

DOCKET NO. 21-05

Served: July 29, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER REQUIRING PRODUCTION OF DISCOVERY

At the behest of the parties, a letter of request was sent to Switzerland to ensure that discovery in this proceeding did not contravene Swiss legal requirements. On July 15, 2022, Complainant MCS Industries, Inc. (“MCS Industries”) and Respondent MSC Mediterranean Shipping Company SA (“MSC Mediterranean Shipping”) filed a joint status report stating that the letter of request was denied by the Swiss court on the ground that the proceeding is administrative and therefore does not fall within the scope of application of the 1970 Hague Convention on the Taking of Evidence Abroad in Civil or Commercial Matters.

In the joint status report, Complainant asserts that the Department of State should be contacted to request assistance to obtain discovery and Respondent asserts that a new letter of request should be submitted to the Swiss Federal Office of Justice. July 15, 2022, Joint Status Report. However, the Swiss authorities, who are in the best position to determine whether their involvement is needed, have indicated that the requested discovery is outside the scope of the Hague Convention and that their intervention is not necessary. Other courts have come to a similar conclusion.

The party seeking to pursue discovery through the Hague Evidence Convention bears the burden of demonstrating that the procedure it seeks to use is necessary and appropriate. *Luminati Networks v. Code200*, 2021 U.S. Dist. LEXIS 128634, at *10 (E.D. Tex. 2021). A party seeking an order to apply Hague Convention procedures in lieu of the procedures set forth in the Federal Rules of Civil Procedure must demonstrate that a specific foreign law “actually bars the production or testimony at issue.” *Alfadda v. Fenn*, 149 F.R.D. 28, 34 (S.D.N.Y. 1993). “In order to meet that burden, the party resisting discovery must provide the Court with information of sufficient particularity and specificity to allow the Court to determine whether the discovery sought is indeed prohibited by foreign law.” *Id.* The Supreme Court has held “that the Hague Convention did not deprive the District Court of the jurisdiction it otherwise possessed to order a foreign national party before it to produce evidence physically located within a signatory nation.”

Societe Nationale Industrielle Aerospatiale v. United States Dist. Ct. for S. Dist., 482 U.S. 522, 539-40 (1987).

Here, Respondent asserts that Article 271 of the Swiss Criminal Code (“SCC”) blocks the production of the documents at issue. Jan. 10, 2022, Joint Status Report; February 25, 2022, Respondent’s Notice and Update; April 4, 2022, Joint Status Report; July 15, 2022, Joint Status Report. Respondent’s Swiss counsel, in their February 25, 2022 memorandum, assert that Swiss authorities disagree with the Supreme Court’s finding that the Hague procedures are optional; discusses Article 271 to conclude that to “avoid any risk of violating Article 271 SCC, the Swiss party requested to provide evidence must use Swiss-approved procedures before producing documents located in Switzerland to a foreign authority;” and opines that a letter of request under the Hague Convention is the most appropriate way to obtain the discovery. February 25, 2022, Memorandum on Swiss Law at 4-5.

The Court’s ultimate task “is not to definitively determine what Swiss law is, but rather to decide whether the risk of prosecution under Article 271 is so great” as to warrant a protective order. *Microsoft Corp. v. Weidmann Elec. Tech., Inc.*, 2016 U.S. Dist. LEXIS 170325, *34 n.14 (D. Vt. 2016). In *EFG Bank AG v. AXA Equitable Life Ins. Co.*, the federal district court denied a protective order for EFG documents located in Switzerland, finding that EFG failed “to demonstrate with sufficient particularity and specificity that the discovery sought is prohibited by Swiss law,” specifically Article 271. 2018 U.S. Dist. LEXIS 67521, *4-5 (S.D.N.Y. 2018). The court cited a number of Swiss cases that found that Article 271 did not apply where there was no threat of criminal sanction.

Significantly, however, decisions of the Swiss Federal Department of Justice and Police (“FDJP”) — an administrative, non-judicial body — indicate that Swiss law does not preclude the *voluntary* production of documents by a private party and that “voluntary” is defined broadly to include the production of discovery so long as the party faces only procedural consequences rather than criminal sanctions for its failure to produce.

EFG Bank, 2018 U.S. Dist. LEXIS 67521, *5 (emphasis in original). The court noted:

Conspicuously, EFG fails to identify a single case in which a party was found to have violated Article 271 by disclosing its own documents absent a court order threatening criminal sanctions. That is presumably because no such case exists. Indeed, EFG’s own expert on Swiss law concedes that no court has held that production by a party in the circumstances presented here violates Article 271.

Id., at *7-8 (footnote omitted). Similarly, another district court recently declined to pursue discovery under the Hague Convention or to issue a letter of request, finding that “although Article 271 might be implicated if the responding party was threatened with criminal sanctions for failure to comply with a discovery order, the statute does not preclude voluntary disclosure in compliance with a civil discovery order if the consequence for noncompliance is procedural only.” *Belparts Grp., N.V. v. Belimo Automation AG*, 2022 U.S. Dist. LEXIS 75450, at *15 (D. Ct. 2022).

In Respondent's Swiss counsel's April 4, 2022, Second Memorandum on Swiss Law, they acknowledge that: "It is true that in practice, there are not many prosecutions based on Article 271. This is mainly because it is a norm of behavior." April 4, 2022, Memorandum on Swiss Law at 4. The memorandum further asserts that the four-year old *EFG Bank* case "does not and cannot capture more recent evolution of the case law that clearly supports a strengthening of the sensitivity to Article 271 violations." *Id.* Moreover, Respondent's Swiss counsel state that there was a criminal prosecution of a Swiss asset manager for providing data to American prosecutors on American clients of the asset manager, concluding that the Swiss Supreme Court "specifically noted that the collection and transmission on Swiss territory of evidence that falls within the scope of international judiciary assistance is a breach of Article 271." *Id.* (emphasis added).

Commission Rule 150(b) outlines the procedural consequences of failing to provide discovery in Commission proceedings:

(b) Failure to comply with order compelling disclosures or discovery. If a party or a party's officer or authorized representative fails or refuses to obey an order requiring it to make disclosures or to respond to discovery requests, the presiding officer upon his or her own initiative or upon motion of a party may make such orders in regard to the failure or refusal as are just. A motion must include a certification that the moving party has conferred in good faith or attempted to confer with the disobedient party in an effort to obtain compliance without the necessity of a motion. An order of the presiding officer may:

- (1) Direct that the matters included in the order or any other designated facts must be taken to be established for the purposes of the action as the party making the motion claims;
- (2) Prohibit the disobedient party from supporting or opposing designated claims or defenses, or from introducing designated matters in evidence; or
- (3) Strike pleadings in whole or in part; staying further proceedings until the order is obeyed; or dismissing the action or proceeding or any party thereto, or rendering a decision by default against the disobedient party.

46 C.F.R. 502.150(b).

This proceeding is very different from a non-party providing Swiss banking documents to American prosecutors building a potential criminal case. This proceeding is not a criminal prosecution and the Commission cannot impose criminal penalties. The discovery sought is in relation to shipments from specific ports in China and Indonesia to the United States over a limited timeframe. Evidence is sought by a private party, Complainant MCS Industries, from a private party, Respondent MSC Mediterranean Shipping. Because MSC Mediterranean Shipping is a party providing its own documents, it has been able to negotiate an appropriate protective order. Moreover, the penalty for non-production of discovery is not criminal. Most critically, the Swiss authorities have reviewed the request and determined that it is outside the scope of the Hague Evidence Convention. Therefore, MSC Mediterranean Shipping has not established that any additional actions need to be taken under the Hague convention.

Respondent MSC Mediterranean Shipping is alleged to be one of the largest container lines in the world. It has voluntarily chosen to conduct business in United States ports and is regulated by the Federal Maritime Commission. Respondent has opposed providing relevant discovery which it was ordered to produce in the order granting motion to compel. It has delayed the proceeding by insisting that Swiss law prohibits discovery disclosure. But, parties appearing before the Commission are entitled to relevant evidence needed to adjudicate the proceeding. Failure to provide discovery may result in procedural sanctions, from an inference that the discovery would have been adverse to Respondent's interests to a decision on default. See *Kawasaki Kisen Kaisha, Ltd v. The Port Authority of New York and New Jersey*, Docket 11-12, 2014 FMC LEXIS 36, at *14-18 (Order Affirming Dismissal of Complaint for Complainant's failure to provide discovery) (FMC Nov. 20, 2014); *Jamteck Int'l Shipping, Inc. - Possible Violations of the Comm'n's Regulations at 46 C.F.R. Part 515*, Docket No. 07-09, 2009 FMC LEXIS 42, at *6-7 (ALJ July 27, 2009) (Admin. final on August 31, 2009) (referencing order that an inference adverse to respondents be drawn as a consequence of respondents' failure to respond to discovery).

For the reasons stated above, it is hereby **ORDERED** that MSC Mediterranean Shipping's request to resubmit a request to Swiss authorities for assistance with discovery is hereby **DENIED**. MSC Mediterranean Shipping is hereby **ORDERED** to provide any outstanding discovery by August 29, 2022, including the discovery ordered to be produced in the Order Granting Motion to Compel. The parties shall file a joint status report by August 15, 2022, with a proposed schedule to complete discovery and brief this proceeding expeditiously.

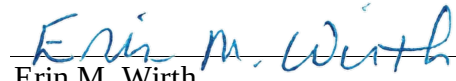

Erin M. Wirth
Chief Administrative Law Judge

EXHIBIT 2

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 21-05

MCS INDUSTRIES, INC. v. MSC MEDITERRANEAN SHIPPING COMPANY SA

JOINT STATUS REPORT

Pursuant to the Presiding Officer's July 29, 2022 Order Requiring Production of Discovery (the "July 29 Order"), the undersigned counsel for Complainant MCS Industries, Inc. ("MCS Industries") and Respondent MSC Mediterranean Shipping Company SA ("Mediterranean" and, collectively with MCS Industries, the "Parties") jointly file this status report.

I. Complainant's Report

As of the time of this writing, and after inquiry via email, Complainant has received no indication from Respondent that Respondent intends to comply with the Presiding Officer's July 29 Order and produce the discovery encompassed by the Presiding Officer's December 8, 2021 Order Granting Motion to Compel (the "December 8 Order") and the Presiding Officer's recent letter of request to the Tribunal de première instance for the Swiss canton of Geneva (the "Letter of Request") under the Convention of 18 March 1970 on the Taking of Evidence Abroad in Civil or Commercial Matters (the "Hague Evidence Convention"). Complainant has received no information about the volume, format, or accessibility of any productions or responses that may be forthcoming from Respondent.

As Complainant noted in the Parties' February 28, 2022 Joint Status Report, despite Complainant's efforts to proceed expeditiously with discovery in this case, Complainant has twice

been placed in a position where the then-applicable case schedule would have forced it to proceed with key depositions before Respondent has complied with its own discovery obligations under the Federal Maritime Commission's (the "Commission") Rules of Practice and Procedure (the "Rules") and the Presiding Officer's Orders. On two prior occasions Complainant noticed a deposition of Respondent's corporate representative(s), and Respondent unilaterally refused to produce a corporate designee without proposing alternative dates. Although Complainant has repeatedly indicated its intent to take deposition testimony from at least two of Respondent's personnel based in Switzerland (one of whom is the individual who verified Respondent's answers to the complaints in this action), Respondent has not committed to making such personnel available for depositions voluntarily (whether within Switzerland or elsewhere) or indicated whether it will seek to impose requirements such as, for example, a commissioner appointed pursuant to the Hague Evidence Convention in order for such depositions to proceed.

Again, Complainant shares the Presiding Officer's desire to move this case forward promptly but cannot in the process allow itself or its claims to be disadvantaged or prejudiced. Without any of the above information, proposing or agreeing to specific new case scheduling dates would, for a third time in this case, create precisely that same possibility of disadvantage and prejudice to Complainant.

Accordingly, Complainant respectfully requests that the issue of case scheduling be revisited *after* Respondent has either complied with the Presiding Officer's July 29 Order or failed to comply with it on the August 29, 2022 deadline specified therein. If Respondent fails to comply by the August 29 deadline, Complainant expects to file a motion by no later than September 30, 2021 requesting the alternative remedies suggested in the July 29 Order (i.e., adverse inferences or a decision on default against Respondent).

II. Respondent's Report

As the July 29 Order notes, both Complainant and Respondent requested in their July 15 joint status report that additional consultative procedures be undertaken with the Swiss government to address the July 1 ruling of the Geneva Court of First Instance. MSC and its Swiss counsel believe that that ruling, which was unexpected, was issued without a full understanding of the nature of this Commission proceeding as directly analogous to civil commercial proceedings in federal court under binding U.S. Supreme Court precedent. Complainant suggested use of the consultative procedures under 46 U.S.C. § 41108(c)(2) to address the matter, while MSC suggested resubmitting the request. Both sides agreed that further engagement with the Swiss government should be sought to resolve the matter.

Your Honor's July 29 Order directing production without further intergovernmental process was based on the ground that "the Swiss authorities, who are in the best position to determine whether their involvement is needed, have indicated that the requested discovery is outside the scope of the Hague Convention and that their intervention is not necessary." Order, at 1. Later the Order states that "[m]ost critically, the Swiss authorities have reviewed the request and determined that it is outside the scope of the Hague Evidence Convention." *Id.* at 3. MSC's concern, as detailed in the July 15 joint status report, is that the opinion of the Geneva court is based on a misapprehension of the Commission's status, is inconsistent with established precedent under U.S. law, and, in the opinion of MSC's Swiss counsel, is inconsistent with Swiss law and practice. Additionally, the view of a single judge in a court of first instance is not necessarily reflective of the view of the Swiss authorities in general, nor of the views of the Federal Office of Justice in Bern. The Federal Office of Justice acts as the official center of legal expertise for mutual legal assistance matters in Switzerland. Consequently, the decision of a first instance judge

in Geneva does not establish that the consultation procedures of 46 U.S.C. § 41108(c)(2), which Complainant has asserted are mandatory, would be fruitless.

MSC and its Swiss counsel also respectfully submit that the July 29 Order misperceives the effect of the Geneva court's order on the application of the criminal provisions of Article 271 of the Swiss Criminal Code were MSC to proceed to provide discovery under the compulsion of the order without compliance with the proper Swiss procedures. First, it is not only the criminal nature of the sanctions attached to a failure to comply with a production order that is decisive in determining the admissibility of voluntary production. The handing over of information and documents from Switzerland, which according to domestic law could only be disclosed by order of a Swiss authority, violates Art. 271 of the Swiss Criminal Code. Proceeding without use of the Hague Procedures, which MSC's Swiss counsel continue to believe are applicable, and has taken steps with the central authority to confirm that applicability, would expose MSC to a significant risk.

The Order also suggests, quoting a statement of MSC's Swiss counsel, that the risk of an Article 271 prosecution is limited only to "evidence that falls within the scope of international judiciary assistance," and that there would be no such risk as to matters that fall outside that scope. Order at 3 (emphasis in original). It does not follow that because Article 271 applies to matters within the Hague procedures it does not apply to matters outside them, and Swiss law is to the contrary. Even if it were not, however, MSC would have no assurance that the Court of First Instance's holding would be followed in a criminal proceeding as the official position of the Swiss authorities, particularly as it appears to be based on an erroneous understanding of the nature of this proceeding.

The recent rulings place MSC in an impossible position. MSC faces potential sanctions under the Commission's rules for failure to comply with Your Honor's July 29 Order, but faces potential criminal exposure under Swiss law if it collects or produces evidence under direction of another sovereign governmental authority without authorization. This situation can be addressed if, as both parties proposed in the July 15 report, efforts are undertaken to allow consultative procedures to be used. MSC's Swiss counsel has contacted the Federal Office of Justice in Bern to obtain confirmation that the July 1 order is in error and that the Hague Procedures are in fact available and must be used. We will revert to Your Honor immediately upon receiving that advice, with a proposal for moving forward that we believe will allow MSC to comply with Swiss law and obviate the need for motion practice of the type MCS suggests in its submission.

Dated: August 15, 2022

HUTH REYNOLDS LLP

s/ Matthew J. Reynolds
Matthew J. Reynolds
(646) 872-9353
reynolds@huthreynolds.com
Karl C. Huth
(212) 731-9333
huth@huthreynolds.com
Sara G. Wilcox
(415) 676-1773
swilcox@huthreynolds.com
41 Cannon Court
Huntington, NY 11743

*Counsel for Complainant
MCS Industries, Inc.*

Respectfully submitted,

K&L GATES LLP

s/ Michael F. Scanlon
Michael F. Scanlon
John Longstreth
Ifigeneia Xanthopoulou
1601 K Street, N.W.
Washington, DC 20006
(202) 778-9000
(202) 778-9100 (fax)
Email: michael.scanlon@klgates.com
john.longstreth@klgates.com
ifigeneia.xanthopoulou@klgates.com

*Counsel for Respondent MSC Mediterranean
Shipping Company SA*